EXECUTIVE SUMMARY

1. Introduction

a. Agency Profile

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA" which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City. It has a population of 22,463 and based on the statistics of the last election, a total of 11,317 were registered voters.

For CY 2015, the Municipality of Piat had a total of 132 personnel complement with 65 permanent, 11 elective, 2 casual, 2 contractual and 52 on job order status.

b. Audit Methodology and Scope of Audit

The audit covered the accounts and operations of the Municipality of Piat, Cagayan for the year 2015 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality of Piat for the year-ended December 31, 2015 with comparative figures for CY 2014 are as follows:

	2015	2014	Increase/ (Decrease)
Financial Position			
Total Assets	₱164,012,737.69	₱144,508,179.14	₱19,504,558.55
Total Liabilities	42,859,091.08	42,332,235.64	526,855.44
Total Government Equity	121,153,646.61	102,175,943.50	18,977,703.11
Financial Performance			
Total Income(Includes Subsidy from Other Funds)	79,472,485.43	67,754,704.06	11,717,781.37

	2015	2014	Increase/ (Decrease)
Total Expenses (Includes Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	60,449,302.05	57,896,639.79	2,552,662.26
Appropriations, Allotments and Obligations			
Total Appropriations-Current	75,942,106.00	67,991,372.00	7,950,734.00
Total Obligations	47,087,868.91	56,133,076.71	(9,045,207.80)
Appropriations-Continuing	23,361,451.34	23,361,451.34	0.00
Obligations-Continuing	2,668,436.58	1,373,057.35	1,295,379.23

In 2015, the Municipality of Piat received funds from other government agencies totaling ₱10,528,925.00 and transferred funds to various barangays totaling ₱18,000.00, as follows:

	2015	2014	Increase/ (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱10,410,925.00	₱9,077,900.05	₱1,333,024.95
Local Government Units	118,000.00	140,000.00	(22,000.00)
Non-Government Organizations/People's Organizations (NGOs/POs)	-	-	-
Others	-	174,060.00	(174,060.00)
Total	**₱10,528,925.00**	**₱9,391,960.05**	**₱1,136,964.95**
Funds Transferred to:			
NGAs	-	-	-
Local Government Units	18,000.00	-	18,000.00
NGOs/POs	-	-	-
Total	**₱18,000.00**	**-**	**₱18,000.00**

3. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Piat for the year-ended December 31, 2015 due to the following:

a. Inadequate accounting and property records to support the balance of the recorded Property, Plant and Equipment (PPE) account totaling ₱53,350,196.51.

b. Lack of certified list and/or subsidiary ledger of taxpayers to support the recorded balance of Real Property Tax (RPT)/Special Education Tax (SET) Receivables totaling ₱23,923,471.44 rendered the accounts unreliable at year-end.

c. Unreconciled difference of ₱6,014,549.02 in the Cash in Bank account per balances in the General Ledger against balances per bank statements as a result of the continued non-preparation of monthly Bank Reconciliation Statements (BRS) to ascertain the reliability and accuracy of the Cash – Local Currency- Savings Account with a total balance of P67,885,533.62.

d. Unreconciled difference of ₱2,508,927.97 in the Cash-Local Treasury account balance per General Ledger versus the Cash Book balance due to continued failure to reconcile both records.

4. Significant Observations and Recommendations

a. Additional cash advances totaling P1,783,346.40 were granted to Officers and Employees with previous unliquidated cash advances and past due accounts totaling P1,538,430.78 remained unliquidated at year-end due to Management's failure to strictly observe the rules and regulations on the granting, utilization and liquidation of cash advances.

Direct the concerned officers and employees to immediately settle their unliquidated cash advances. The Municipal Accountant should issue a certification that the previous cash advance has been liquidated and accounted for in the books before granting additional cash advances.

b. The Notices of Disallowance representing payment of Productivity Enhancement Incentive (PEI) to officers and employees and job order personnel and overpayment of honoraria to the Bids and Awards Committee (BAC) totaling P1,629,458.00 remained unsettled as of December 31, 2015 due to failure of management to issue demand letters to settle the same.

Enforce immediate settlement of the disallowed PEI and BAC honoraria.

c. Incomplete bidding documents were submitted and procedural requirements were not complied with on procurement projects with a total contract amount of ₱2,158,764.00.

Submit the identified lacking documents and strictly adhere to documentary and procedural requirements of the IRR of RA 9184 and other related rules and regulations on procurement.

d. Programs, Projects and Activities totaling P13,202,121.00 appropriated under the 20% Development Fund during the year were not implemented

because the Municipal Annual Budget for CY 2015 was not enacted within a reasonable period of time.

The Legislative Department should endeavor to comply with the prescribed period of submission and approval of the Municipal Annual Budget.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱356,531.25	-	-	₱356,531.25	0%
Current Year	-	-	-	-	-
Total	₱356,531.25	-	-	₱356,531.25	0%
Disallowances					
Prior Years	₱1,368,700.00	-	-	₱1,368,700.00	0%
Current Year	-	₱ 260,758.00	-	₱ 260,758.00	0%
Total	₱1,368,700.00	₱ 260,758.00	-	₱1,629,458.00	0%
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 19 audit recommendations in the 2014 Annual Audit Report, five were implemented, two were partially implemented and 12 were not implemented. Furthermore, one finding from the 2013 Annual Audit Report is still unimplemented and included in Part III of the Report.